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Financial Reporting & Analysis

Session 3

Lecture Materials
FALL 2026

HRA

Financial Reporting & Analysis

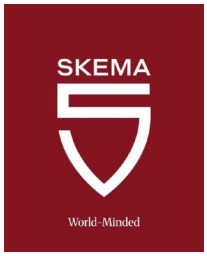
(Session 3)

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Material 3: (Page 39)	**Reading #1:** Alex Fisher, "***Applying IFRS in the Oil and Gas Industry – Calculating Depletion, Units of Production Method",*** CPA Canada Viewpoints, April 2016
Material 4: (Page 46)	**Reading #2:** PwC, ***"Impairment of non-financial assets - common mistakes",*** PwC Viewpoint, 21 Feb. 2023
Material 5:	**Reading #3:** PwC, ***"Accounting implications of geopolitical conflicts"***, PwC Viewpoint, 16 July 2024. **(Posted separately on K2)**
Material 6: (Page 51)	**Reading #4:** Julie Creswell, ***"Starbucks to Shutter 250 Stores as Turnaround Plan Continues"***, NY Times, 24 Sept. 2026.
Material 7:	**Reading #5:** HLB, ***"IFRS 16 Leases Guide"***, HLB Global Advisory, 2022. (Posted separately on K2)

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Session 3

Selected Accounting Issues : Non-Current Assets

FALL 2026

HRA

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Session 3 Outline

1. Explain how the cost of PPEs' is reported in the balance sheet
2. Define and distinguish intangible assets reported in the balance sheet under IAS 38, and highlight the difference between internally generated goodwill and purchased goodwill,
3. Analyze the impact of depreciation, disposition or abandonment of assets in the financial statements (IAS 36),
4. Understand and analyze the accounting for lease transactions under IFRS 16.

2

Recall: Definition of an Asset

- Assets have been defined as follows: (cf. Conceptual Framework 2018):
  - An asset is a **present economic resource** **controlled** by the entity as a result of past events. An economic resource is a right that has the potential to produce **economic benefits.**
- Assets are divided in current assets **(Session 2)** and non-current assets (**Session 3**)
- Non-current assets include assets "**controlled**" but not necessarily owned.

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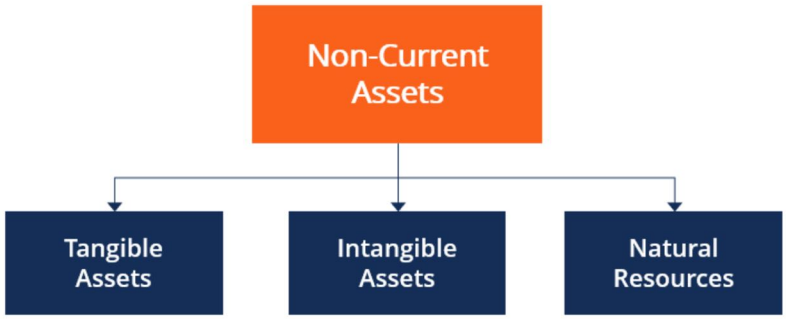


Part 1

'Introductory' Presentation of Non-Current Assets

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Non-Current Assets



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Non-Current Assets

- Non- current assets are defined by IAS as those assets which are not current assets
- IAS 1 uses the term “non-current” to include tangible, intangible and financial assets of a long-term nature

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Presentation of Non-Current Assets

- Statement of Financial Position reported as
  - Property, Plant and Equipment (PPE)
  - Intangible Assets
  - Goodwill
- Disclose cost and accumulated depreciation (amortization) of each major class of assets
  - Either in statement or in notes
- Disclose depreciation/amortization methods and useful lives or rates
- IFRS also requires additional disclosures

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Presentation of Non-Current Assets

- Income Statement
  - Depreciation expense, gains and losses on disposal and impairment losses are included in the operating section
- Statement of Cash Flows
  - Cash flows from the purchase and sale of long-lived assets are reported in the investing section

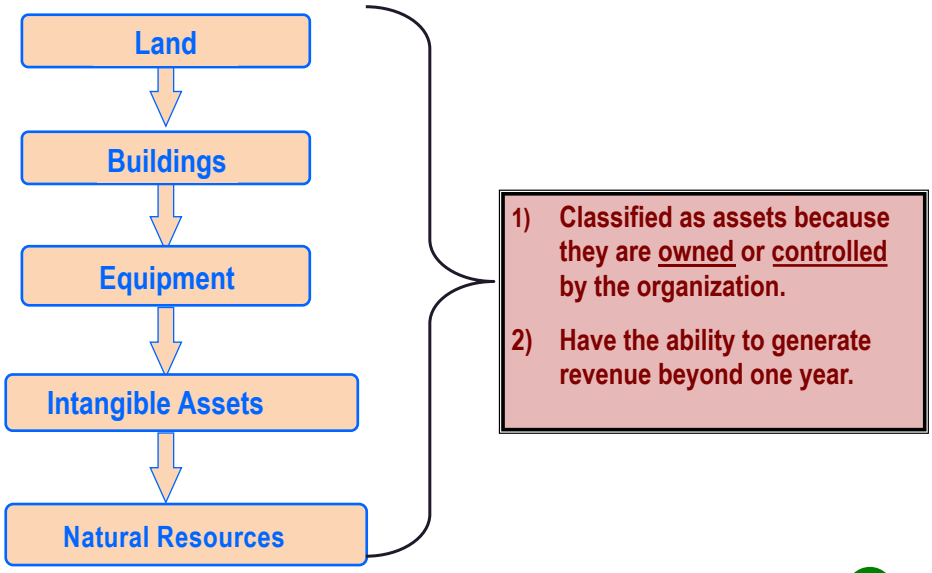
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IAS 16 defines Tangible Assets

- Held by an enterprise for use;
  - In production
  - For rental
  - For administration.
- Expected to be used for more than one period;
  - Consider materiality.

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Non-Current Assets: Recognition?



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Measurement of Non-Current Assets

- **Measurement at initial recognition cost**
- Measurement subsequent to initial recognition
  - Changes in value during the useful live of the asset
- Derecognition
  - Disposal or sale of the asset

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Non-Current Asset Recognition: How is Cost Determined ?

- Purchase price,
- Import duties,
- Directly attributable costs bringing to working condition;
  - Site preparation
  - Delivery costs
  - Installation costs
  - Professional fees
  - Dismantling and restoring site
- IAS 37 provisions, contingent liabilities and contingent assets.

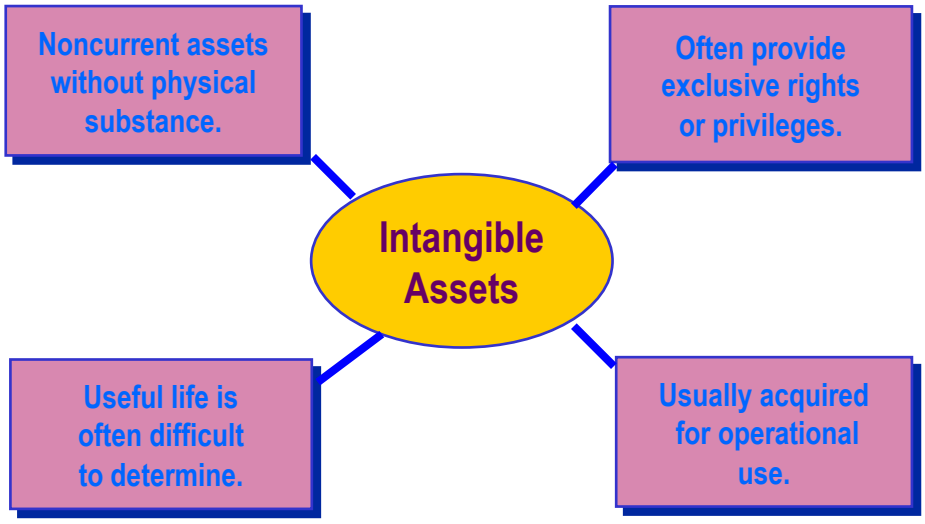
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IAS 38 Intangible Assets & Goodwill: Definitions

- IAS 38 defines an intangible asset as "***an identifiable, non-monetary asset without physical substance***".
- Rights, privileges and/or competitive advantages
  - For example, intellectual property in a production process
- Must be identifiable
  - Can be separated from company and sold; or
  - Based on contractual or legal rights

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Intangible Assets



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Intangibles with Finite Lives

- Patents
  - Exclusive right to produce for 20 years
- Research and development costs
  - All research costs are expensed
  - Development costs are capitalized only if associated with an identifiable, feasible product
- Copyrights ©
  - Protection for the life of the creator + 50 years

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Intangibles with Indefinite Lives

- Trademarks and trade names ™®
  - Word, phrase, jingle, symbol that distinguishes business
- Franchises
  - Contractual arrangement to sell products or services
- Licenses
  - Grant the holder operating rights

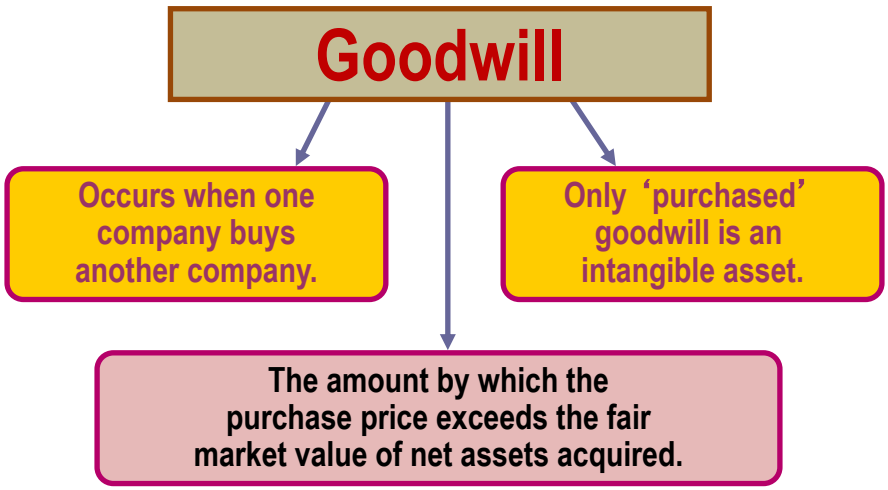
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Goodwill

- Asset representing future economic benefits arising from the purchase of a business
  - Excess of cost over fair market value of net identifiable assets (assets less liabilities) acquired
  - Represents the extra value relating to a business when it is purchased
  - Only identified with the business as a whole
- **Not amortized**, but subject to an annual **test for impairment**

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Goodwill



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Natural Resources

- Natural resources are the assets that occur naturally, and they are derived from the earth.
- Natural resources are also called wasting assets because they are used up when they are consumed.
- The assets must be consumed through extraction from the natural setting.
- Natural assets are recorded on the balance sheet at the **cost** of acquisition **plus** exploration and development costs and **less** accumulated depletion **(cf. Reading #1 attached)**.

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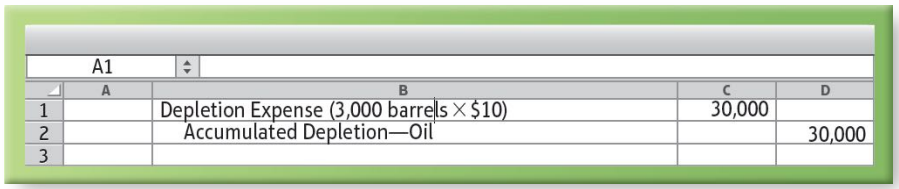
Accounting for Natural Resources (1 of 2)

- **Natural Resources:**
  - Long-term assets such as iron ore, petroleum (oil), and timber
  - Depletion – tracks the flow of a natural resource from its raw state through inventory to cost of goods sold

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Accounting for Natural Resources (2 of 2)

For example, an oil lease may cost Royal Dutch Shell $100,000 and contain an estimated 10,000 barrels of oil. If 3,000 barrels are extracted (assuming the company paid cash, $10 a barrel), the following entry is made:



	A	B	C	D
1		Depletion Expense (3,000 barrels × $10)	30,000	
2		Accumulated Depletion—Oil		30,000
3				

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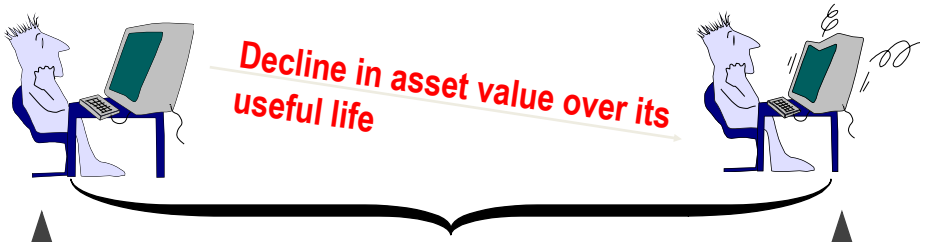
Part 2

Accounting for & Analysis of

Depreciation, Impairment or Abandonment of Assets

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Primary Issues for Non-Current Assets



Acquisition
Accounting for acquisition of the asset.

Use
Accounting for depreciation of the asset.

Accounting for maintenance and repair costs.

Disposal
Accounting for the disposition of the asset.

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Why and what is Depreciation?

Depreciation is the allocation of the cost of an asset to the years in which the benefits of the asset are expected to be received. It is an application of the **matching concept** which requires that **expense** be matched with **the benefit** in each period.

Balance Sheet		Income Statement
Acquisition Cost	Cost Allocation →	Expense
(Unused)		Used

Does not reflect decline in value.

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Factors in Calculating Depreciation

- **Cost**
  - Purchase price plus costs required to get the asset ready for use plus estimated asset retirement costs
- **Useful life**
  - The period of time that the asset is expected to be available for use, or
  - The number of units that the asset is expected to produce or units of output expected to be obtained
- **Residual value**
  - Estimated amount to be received at the end of the asset's useful life

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Depreciation Methods

- Straight-line
  - Used by the majority of publicly-traded or listed companies
- Diminishing-balance (or accelerated depreciation)
- Units-of-production
- Management chooses the method that best reflects the pattern of use of the economic benefits from that asset

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Example 2 – Depreciation Methods

A delivery van was bought on Jan. 1, 2018

Cost $33,000

Estimated residual value $3,000

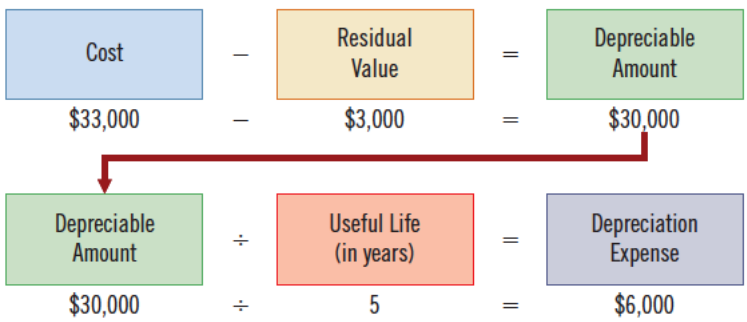
Estimated useful life (in years) 5

Estimated useful life (in kilometres) 100,000

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Straight-Line Method

- Depreciation is constant for each year of the asset's useful life



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Diminishing-Balance Method

- Produces a decreasing annual depreciation expense over an asset's useful life
  - Depreciation is calculated based on the asset's carrying amount, which diminishes each year as accumulated depreciation increases
- Annual depreciation expense is calculated by multiplying the carrying amount at the beginning of the year by the depreciation rate
  - Residual value is not included in the calculation
- Can be applied using different rates
  - Depreciation rate = Straight-line rate x multiplier

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Diminishing-Balance Method (Cont'd)

100%	÷	Useful Life (in years)	=	Depreciation Rate
100%	÷	5 years	=	20%
Carrying Amount at Beginning of Year	×	Depreciation Rate (Straight-Line Rate × Multiplier)	=	Depreciation Expense
$33,000	×	20% × 2	=	$13,200

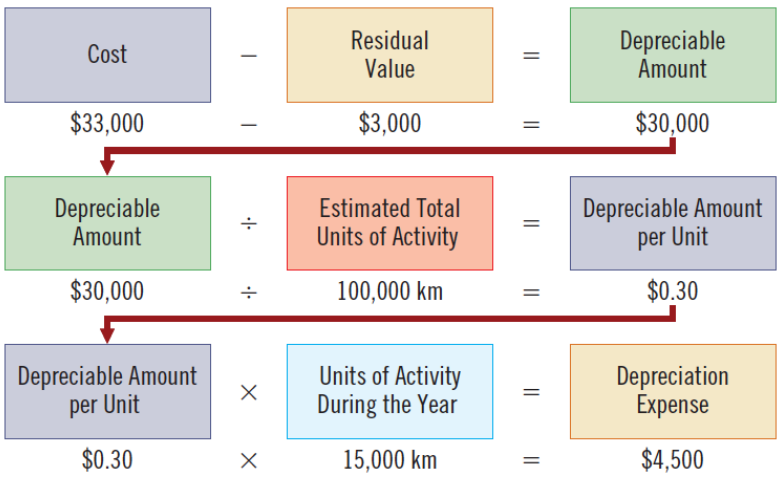
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Units-of-Production Method

- Useful life is expressed in terms of total units of production or activity expected from the asset
  - Such as units produced or machine-hours worked
- Useful for factory machinery, vehicles, airplanes or any asset whose usage varies over time

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Units-of-Production Method



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Other Depreciation Issues

- Significant components
  - May be depreciated separately
- Income tax
- **Impairments**
  - Impairment loss occurs when carrying amount of asset exceeds its **recoverable amount**
- Cost vs. revaluation model
  - Revaluation model allowed under IFRS; used on a limited basis

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Amortization of Intangible Assets

IAS38 requires that the depreciable amount of an intangible asset with a finite useful life should be amortized over that useful life.

Depreciable amount is "*the cost of the asset, or other amount substituted for cost, less its residual value*".

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Useful Lives and Amortization

- Intangible assets are classified as having either:
  (i) ***A finite life***
  Or
  (ii) ***An indefinite life***
  - Asset should not be amortised
  - Annual review required

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Summary: Amortization for Intangibles

- Amortize over shorter of
  - Estimated useful life
  - Legal life
- **Test for impairment**

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IAS 36 impairment of Assets

- Report at no more than recoverable amount
  - Higher of net selling price and value in use.
- Net selling price
  - Disposal value less direct selling costs.
- Value in use
  - PV of future cash flows
  - Discounted at rate for equally risky investment.

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IAS 36 approach

- Single asset or cash generating unit
  - Judgemental
  - Beware concealing poor performance by grouping
- Carrying amount = depreciated historical cost or depreciated revalued amount
- **Impaired if carrying > recoverable amount**
- Calculate a revised carrying amount.

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Revised Carrying Amount

Revised carrying amount = The lower of
- Carrying amount
- OR
- Higher of
  - Net selling price
  - Value in use (VIU)

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Part 3
Accounting for Non-Current Assets: Financial or Leased-Assets

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What is a Lease?

- Under IFRS 16, a company assesses whether the contract contains a lease on the basis of whether **the customer has the right to control** the use of an identified asset for a period of time
- Exemptions? A company is not required to recognize in the balance sheet short-term leases (i.e. leases for 12 months or less) and leases of low-value assets (e.g. a lease of a personal computer)

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IFRS 16 - Leases

Recognition:

"a lease contract conveys the right to **control** the use of an **identifiable asset** to the customer (Lessee), for a period of time in exchange for consideration".

IFRS 16 essentially removes the distinction between finance leases and hire purchase (instalment plan) contracts.

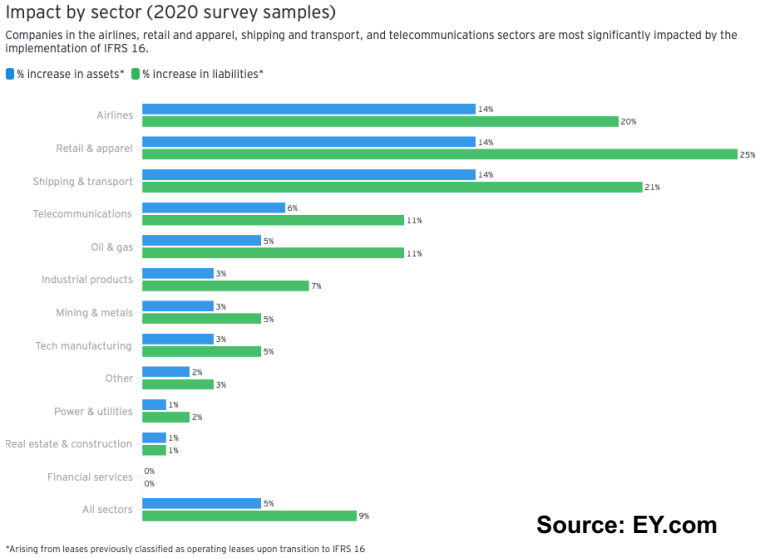
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How does leasing affect a firm's balance sheet?

- For accounting purposes, leases are classified as either short-term or long term.
- Long-term leases (exceeding 12-month period) must be shown directly on the lessee's balance sheet.
- Short-term leases, sometimes referred to as off-balance sheet financing, must be disclosed in the footnotes.

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IFRS 16 Impact on Balance Sheet



Source: EY.com

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The Two Parties to a Lease Transaction

- The **Lessee**, who uses the asset and makes the lease, or rental, payments.
- The **Lessor**, who owns the asset and receives the rental payments.
- Note that the lease decision is a **financing decision** for the lessee and an **investment decision** for the lessor.

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IFRS 16 at a Glance

Lessee

- IFRS 16 introduces a **single lessee accounting model**. A lessee is required to recognize:
  - Assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value,
  - Depreciation of lease assets separately from interest on lease liabilities in the income statement

Lessor

- **Classification of leases as operating leases or finance leases continues** to be applied for those two types of leases differently (cf. former IAS 17)

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Accounting for Finance Leases (by the Lessee)

- The lessee will recognize **a right-of-use (ROU) asset** and a **lease liability** in its books at the commencement date of the lease
- The right-of-use asset will be recognized at cost and shall comprise of: (1) the amount of the initial measurement of the lease liability, (2) any lease payments made at or before the commencement date, less any lease incentives received,(3)any initial direct cost incurred by the lessee and(4) an estimate of costs to be incurred by the lessee in distmantling and removing the underlying asset

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Accounting for Leases - Lessees

The initial measurement of the liability is the **net present value** of the future lease payments.

For the purpose of this unit, the discount factor used is the **implicit interest rate** in the lease for the purpose of setting up both the liability and asset.

After commencement of the lease, the **liability** is measured by applying the lease interest for the period and deducting the payments made in the period.

Thereafter, **depreciation** (and impairment if applicable) is deducted over the asset's useful life (if ownership is transferred at the end of the agreement) or the shorter of the useful life or term of the lease.

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Accounting for Finance Leases (by the Lessor)

1. The lessor has relinquished the risks and rewards of ownership. So, the leased asset should be removed from the lessor's statement of financial position and replaced by a receivable which represents the amount owed by the lessee.

2. In general, **this receivable is initially recognized at the present value** of the minimum lease payments which the lessee is required to make.

3. Subsequently, the rate of interest implicit in the lease is used to calculate the finance income element of each lease payment. This finance income is recognized in the lessor's statement of comprehensive income. The remainder of the lease payment is subtracted from the amount owed by the lessee.

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Accounting for Leases - **Lessors**

Measurement

Classification of leases as operating leases or finance leases continues to be applied for those two types of leases differently,

So, the leased asset should be removed from the lessor's statement of financial position and replaced by a receivable which represents the amount owed by the lessee. **this receivable is initially recognized at the present value** of the minimum lease payments which the lessee is required to make

Subsequently, the rate of interest implicit in the lease is used to calculate the finance income element of each lease payment.

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IFRS 16 Disclosure Requirements
(Short-Term Leases)

The lessee

- the amount of short-term lease payments recognised as an expense during the accounting period
- analysis of the total of the future minimum lease payments payable under non-cancellable **short-term** leases.

The lessor

- analysis of the total of the future minimum lease payments receivable under non-cancellable **operating** leases.

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IFRS 16 Disclosure Requirements
(Long-Term Leases)

The lessee

- for each class of asset, the net carrying amount of assets held under long-term leases
- analysis of the total of the future minimum lease payments payable under long-term leases.

The lessor

- analysis of the total of the future minimum lease payments receivable under **finance** leases
- total amount of unearned finance income outstanding at the end of the reporting period.

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Leases - Example

- A lessee leases an asset on a non-cancellable lease contract with a primary term of five years from 1 January 20X1. The rental is €650 per quarter payable in advance.
- The lessee has the right to continue to lease the asset after the end of the primary period for as long as they wish at a nominal rent. In addition, the lessee is required to pay all maintenance and insurance costs, as they arise.
- The leased asset could have been purchased for cash at the start of the lease for €10,000 and has a useful life of eight years.
- Calculate the interest rate implicit in the lease.

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Example - Feedback

- € 10,000 (fair value) = present value at implicit interest rate of 20 quarterly rentals payable in advance of € 650
- The present value of the first rental payable is € 650 as it is paid now
- Thus € 9,350 = the present value at implicit interest rate of 19 rentals of € 650
- Therefore 9,350/650 = 14.385 present value at implicit interest rate of 19 rentals of € 1
- **Using discount tables, we can determine the interest rate as 2.95 per cent per quarter**

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Leases Impact on Ratios

Ratio	Ratio formula	Effect
Working capital ratio	Current Assets / **Current Liabilities**	Lower
Gearing ratio	**Interest Bearing Liabilities** / **Equity**	Higher
Net profit margin	**Net profit after tax** / Sales	Financing effect
Return on assets	**EBIT** / **Assets**	Financing effect—profit Higher assets
Return on equity (return on capital employed)	**Net profit after tax** / **Equity**	Financing effect—profit Lower equity
Earnings per share	**Net profit after tax** / Number of shares	Financing effect

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Any Questions?

(Session 3)



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Exercises Material
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Financial Reporting & Analysis
Session 3 - Accounting for Non-Current Assets

I. BRIEF EXERCISES:

Brief Exercise 9-10:

Goo-Yeong Limited sells equipment on September 30, 2018, for $42,000 cash. The equipment originally cost $144,000 when purchased on January 1, 2016. It has an estimated residual value of $4,000 and a useful life of five years. Depreciation was last recorded on December 31, 2017, the company's year-end.

Required:

1. Determine and update the depreciation using the straight-line method to September 30, 2018,
2. Following the sale of the equipment, determine the gain/loss on disposal of this equipment.

Brief Exercise 9-14:

Indicate whether each of the following items should be recorded as property, plant, and equipment (PP&E) or an intangible asset (I) on the statement of financial position. If the asset does not fit either of these categories, write 'NA' for 'Not Applicable':

a) Accumulated amortization,
b) Asset retirement cost for a factory,
c) Assets under finance lease (more than 1-year contract)
d) Building,
e) Franchise,
f) Inventory,
g) Common shares,
h) Impairment loss,
i) Land,
j) Land improvements,
k) Leasehold improvements,
l) License right,
m) Operating lease (less than 1-year contract),
n) Patent,
o) Research costs,
p) Residual value on building,
q) Trademark.

Brief Exercise 9-15:

Saputo Inc reported the following selected information about non-current assets at March 31, 2015 (in millions €):

Accumulated depreciation – buildings	218
Accumulated depreciation – furniture, machinery & equipment	887
Accumulated amortization – finite-life intangible assets	57
Buildings	759
Furniture, machinery & equipment	2,339

Goodwill	2,125
Indefinite-life intangible assets	318
Finite-life intangible assets	246
Land	66

Required: Prepare the non-current assets section of the statement of financial position for Saputo Inc.

II. EXERCISES ON NON-CURRENT ASSETS :

2.1. Methods of Depreciation

On January 1, 2013, Sword's Taxi Company purchased a new cab at a cost of $20,000. The estimated salvage value of the cab is $5,000, and the cab's useful life is estimated to be 5 years. The new cab will be driven an estimated 100,000 miles.

Case A:

Give the entry to record depreciation on the machine for 2015 (3rd year of the asset's life) using the double declining-balance method of depreciation. Make your calculations below.

Case B:

Compute the net book value of the cab at the end of 2015 and 2017 if the units of production method is used and the actual miles driven during the life of the cab were as follows:

2013....	22,000	2016	21,000
2014....	29,000	2017	25,000
2015....	23,000		

Case C:

Compute the balance in the Accumulated Depreciation account at the end of 2016 (4th year of asset's life) using the straight-line method. Assume also that the cab was sold on this date for $5,700 in cash. Is the company making a gain or a loss on January 1, 2017 for this transaction?

2.2. Accounting of intangible assets (E9-11)

Reitmans Limited reported the following selected information as at January 31, 2015 (in thousands of €):

Accumulated amortization – software	8,184
Accumulated depreciation – buildings	19,096
Accumulated depreciation – fixtures & equipment	68,010
Accumulated depreciation – leaseholds improvements	83,299
Amortization expense	3,999
Buildings	45,633
Depreciation expense	42,410
Fixtures & equipment	131,073
Goodwill	42,426
Impairment loss	8,276

Land	5,860
Leaseholds improvements	140,188
Operating leases	376,372
Reversal of impairment loss	775
Software (intangible assets)	28,261
Trademarks	499

Required:

1. Identify in which financial statement (statement of financial position, income statement, or neither), and which section of the statement each of the above items should be reported

Accounting Items	Financial Statements	Sections

2. Prepare the non-current assets section of the statement of financial position.

2.3. Accounting for Natural Resources

2.3.1. On January 2, 20X7, Bantam Oil Company purchased an oil well for $625,000. The well contains an estimated 150,000 barrels of oil, with an estimated residual value of $25,000. During 20X7, 15,000 barrels of oil were removed from the well. By how much, for 20X7, Bantam Oil Company will debit Depletion Expense for:

2.3.2. Skyline Mine, Inc., acquired a mineral deposit for $12,000,000 in 20X6. Geologists estimate the deposit contains 2,000,000 tons of ore. During 20X6 and 20X7, Skyline Mine, Inc. removed 610,000 tons and 480,000 tons of ore, respectively. The balance in the Accumulated Depletion account for the mineral deposit on December 31, 20X7, will be:

2.4. Measures of performance (E9-13)

Ajax Limited reported the following information (in millions) at December 31, 2018: net sales €14,000; net income €550; total assets at December 31, 2018, €7,200; and total assets at December 31, 2017, €6,800.

Required:

a) Calculate the following ratios for the year: (1) return on assets, (2) asset turnover, and (3) profit margin,
b) By showing the appropriate calculation (round the numbers), prove mathematically how the profit margin and asset turnover work together to explain the return on asset,
c) On average, the ratio values of Ajax's competitors are return on assets 4.5%, asset turnover 1.5 times, and profit margin 3.0%. Compare these with those of Ajax and determine if Ajax is performing better than the industry.

9.9. Lease financing

Bankers Group Inc., a financial consulting firm, signs a five-year lease for a computer system that requires annual payments of $10,000 at the end of each year, starting in 2020. The effective interest rate on the lease is 8%.

Required:

1. If Bankers Group records the contract as multiple short-term contracts (or operating lease), record and detail the accounting entries for the different years,
2. if Bankers Group chose to sign a 5-year contract lease financing, record and detail the accounting entries for the different years, as suggested by IFRS 16.
3. Contrast the two methods.

III. PROBLEM (P9-9A):

The following is a list of items that might or might not be classified as intangible assets or goodwill:

1. Goodwill recorded in the purchase of a business,
2. Equipment obtained under an operating lease (less than 1-year contract),
3. Cost of purchasing a copyright,
4. Cost of purchasing a trademark,
5. Research costs involving tests of chemicals to use in a new medication that has not yet been developed,
6. Goodwill generated internally,
7. Aircraft acquired using a finance lease (more than 1-year contract),
8. Cost of purchasing a patent,
9. Legal costs incurred to unsuccessfully defend a patent (see item 8)
10. Development costs incurred to manufacture a sample product that can and will be sold in the future.

Required:

a) Identify which of the above items would be reported as intangible assets or goodwill on the statement of financial position,
b) For those items in part (a) reported as intangible assets or goodwill, identify the specific account title that would be used to classify the asset,
c) For those items in part (a) reported as intangible assets or goodwill, identify which ones would likely be amortized,
d) For any of the above items that are not intangible assets or goodwill, identify the specific account title, financial statement, and classification under which it would be reported. It would not be reported on any financial statement, state so.

IV. MINI QUIZ:

Question 1: A company purchased land for $120,000 cash; $7,000 was spent to demolish an old building on the land before construction of a new building could start; and $1,500 was received for material salvaged from the old building. The cost of the land would be recorded at

a. $128,500.
b. $125,500.
c. $127,000.
d. $120,000.

Question 2: Which of the following should not be classified as property, plant and equipment?

a. Land used in ordinary business operations.
b. A truck held for resale by an automobile dealership.
c. Land improvements, such as parking lots and fences.
d. Building used as a factory.

Question 3: Which of the following assets does not decline in service potential over the course of its useful life?

a. furnishings
b. computers
c. office equipment
d. land

Question 4: Enmerick Corporation purchases a new delivery truck for $45,000. The company logo is painted on the side of the truck for $1,500. The motor vehicle licence is $175. Annual insurance is $1,500. At what amount does Enmerick record the cost of the new truck?

a. $46,500
b. $46,675
c. $45,000
d. $45,175

Question 5: Assuming there are no impairment losses, the balance in the Accumulated Depreciation account represents the

a. amount charged to depreciation expense in the current period.
b. amount charged to depreciation expense since the acquisition of the asset.
c. cash fund to be used to replace assets.
d. amount to be deducted from the cost of the asset to arrive at its fair value.

Question 6: Which of the following is not an acceptable method of depreciation?

a. straight-line
b. increasing-balance
c. diminishing-balance
d. units-of-production

Question 7: The cost of a depreciable long-lived asset is expensed

a. in the period in which it is disposed of.

b. when it is paid for.
c. in the period in which it is acquired.
d. as the asset benefits the company.

Question 8: The carrying amount of an asset is equal to the

a. asset's fair value less its original cost.
b. asset's cost less residual value less accumulated depreciation.
c. asset's cost less residual value.
d. asset's cost less accumulated depreciation.

Question 9: The difference between a depreciable asset's cost and its residual value is called

a. the annual depreciation.
b. accumulated depreciation.
c. the revaluation amount.
d. the depreciable amount.

Question 10: In calculating depreciation, residual value is

a. an estimate of the asset's value at the end of its useful life.
b. subtracted from accumulated depreciation to determine the asset's depreciable cost.
c. ignored in all the depreciation methods.
d. the fair value of the asset on the date of acquisition.

Question 11: Equipment was purchased for $20,000. It is estimated that the equipment will have a $3,000 residual value at the end of its 5-year useful life. Using the straight-line method, annual depreciation expense will be

a. $3,400.
b. $4,000.
c. $4,600.
d. $5,000.

Question 12: A company purchased factory equipment on May 1, 2018 for $30,000. It is estimated that the equipment will have a $4,200 residual value at the end of its 8-year useful life. Using straight-line depreciation, the depreciation expense for the years ended December 31, 2018 and 2019 is

a. $2,500 in 2018 and $3,750 in 2019.
b. $3,225 in 2018 and $3,225 in 2019.
c. $2,150 in 2018 and $3,225 in 2019.
d. none of these.

Question 13: The diminishing-balance method of depreciation produces a(n)

a. diminishing percentage rate each period.
b. constant amount of depreciation expense each period.
c. decreasing depreciation expense each period.
d. increasing depreciation expense each period.

Question 14: Management should select the depreciation method that

a. is required by the government.
b. is easiest to apply.
c. best measures the asset's fair value each period over its useful life.
d. best reflects the pattern in which the asset's future economic benefits are to be consumed.

Question 15: A change in the estimated useful life of equipment requires

a. that the amount of depreciation expense be changed in the current and future years.
b. a retroactive change in the amount of depreciation recognized in previous years.
c. that net income for the current year be increased.
d. that no change be made to depreciation calculations, so that depreciation expense amounts are comparable over the life of the asset.

VIEWPOINTS:
Applying IFRSs in the Oil and Gas Industry
CALCULATING DEPLETION—UNITS OF PRODUCTION METHOD

APRIL 2016

Background

IAS 16 *Property, Plant and Equipment* is the standard that addresses the accounting for property, plant and equipment, including development or production assets (collectively PP&E), and the associated depletion,[1] depreciation and amortization (collectively, DD&A).

IAS 16 does not prescribe a single method of determining DD&A and acknowledges that a variety of depreciation methods can be used to allocate the depreciable amount of an asset on a systematic basis over its useful life. These methods include the straight-line method, the diminishing balance method and the units of production (UoP) method.

This *Viewpoints* focuses on the depletion of upstream assets of an oil and gas company.

This *Viewpoints* has been developed based on the assumption that a Canadian oil and gas company annually prepares a reserves report in accordance with the Society of Petroleum Evaluation Engineers' *Canadian Oil and Gas Evaluation Handbook (COGE Handbook)* as required by National Instrument 51-101 *Standards of Disclosure for Oil and Gas Activities* (NI 51-101) and the report provides information on reserve categories, volumes, and related items (e.g., future development costs).

1 For the purposes of this *Viewpoints*, the term "depletion" will be used to describe the systematic allocation of the cost of natural resources over their useful life; the term "reserve basis" represents the useful life of an asset.

Oil and Gas Industry Task Force on IFRSs

International Financial Reporting Standards (IFRSs) create unique challenges for junior oil and gas companies. Financial reporting in the sector is atypical due to significant differences in characteristics between junior oil and gas companies and other types of companies. The Canadian Association of Petroleum Producers (CAPP), the Explorers and Producers Association of Canada (EPAC) and the Chartered Professional Accountants of Canada (CPA Canada) created the Oil and Gas Industry Task Force on IFRSs to share views on IFRS application issues of relevance to junior oil and gas companies. The task force views are provided in a series of papers available through free download. These views are of particular interest to chief financial officers, controllers and auditors.

The views expressed in this series are non-authoritative and have not been formally endorsed by CAPP, EPAC, CPA Canada or the organizations represented by the task force members.

CPA CHARTERED PROFESSIONAL ACCOUNTANTS CANADA

CAPP CANADIAN ASSOCIATION OF PETROLEUM PRODUCERS

EPAC THE EXPLORERS AND PRODUCERS ASSOCIATION OF CANADA

Issue

How is depletion calculated on the upstream assets of an oil and gas company?

Viewpoints

Unit of Production Basis

The UoP method calculates depletion expense as the net cost of PP&E multiplied by the depletion rate. Specifically:

- Costs subject to depletion are the total accumulated PP&E costs to the end of the period, less opening accumulated depletion and impairment, less residual value, plus the relevant future development costs. Refer to the section below entitled "Amounts Subject to UoP Depletion" for more detail.
- Depletion rate is the actual units of production (*not sales*) for the period divided by the total units of production estimated for the total useful life of the asset at the *beginning* of the depletion period.

IFRSs do not prescribe what basis should be used for the UoP calculation. In Canada, the standard definitions for the different bases for determining reserves and values are typically based on the *COGE Handbook* and specified by NI 51-101.

In the experience of the Oil and Gas Industry Task Force on IFRSs and the findings from the January 2013 **CPA Canada Survey of Selected Accounting Policies of Junior Oil and Gas Entities**, most Canadian junior oil and gas companies apply one of the following two reserve bases to compute depletion:

- total proved reserves
- total proved plus probable reserves.

Undeveloped reserves

Undeveloped reserves require capital expenditures (usually referred to as estimated "future development costs" or FDCs by independent reserves evaluators and by the Canadian oil and gas industry) to bring those reserves into production.

FDCs generally include all estimated costs incurred to obtain access to reserves and to provide facilities for extracting, treating, gathering and storing the oil and gas from reserves (e.g., drilling, completing, and equipping costs) for those drilling locations to which undeveloped reserves have been assigned by the independent reserves evaluator.

If the undeveloped reserves are included in the reserves for purposes of the depletion calculation, then the FDCs needed to bring the undeveloped reserves on stream should be included in the costs subject to depletion.

As actual development costs are incurred and recognized (i.e., included in the cost basis of PP&E), the corresponding FDCs should be simultaneously reduced (i.e., actual costs incurred are excluded from FDCs) in order to avoid double counting these development costs.

Non-producing reserves

Non-producing reserves may also require FDCs to bring or return them to production.

If non-producing reserves are included in the depletion basis, then the corresponding FDCs should also be included in the costs subject to depletion.

As actual development costs are incurred to bring the non-producing reserves into production, the corresponding FDCs should be simultaneously reduced (i.e., actual costs incurred are excluded from FDCs) in order to avoid double counting these development costs.

Current vs. forecast pricing

Companies subject to NI 51-101 prepare a reserves report that includes forecast pricing and costs. FDCs are based on forecast cost estimates (i.e., undiscounted forecast costs). These costs may be founded on current costs, adjusted for future factors such as inflation.

Selecting a Reserve Basis

The reserves basis (such as total proved reserves or total proved plus probable reserves) used in the UoP calculation is an accounting estimate that represents management's best estimate of the future economic benefits embodied in the asset (i.e., useful life).

The useful life definition in IAS 16 mentions the number of production or similar units expected to be obtained from the asset by an entity. In addition, because the IASB's *Conceptual Framework for Financial Reporting* identifies assets on the basis of probable future economic benefits, the inclusion of probable reserves is generally consistent with this approach.

In the experience of the Oil and Gas Industry Task Force on IFRSs, it is common for Canadian junior oil and gas companies to use total proved plus probable reserves as the basis for the UoP depletion calculation. The January 2013 **CPA Canada Survey of Selected Accounting Policies of Junior Oil and Gas Entities** found that 90% of companies sampled used proved plus probable reserves as the basis for the calculation of depletion.

Changing a Reserve Basis

The depreciation method, residual value, and the useful life (including life of reserves) of an asset should be reviewed at least at each financial year end and, if expectations differ from previous estimates, any change(s) should be accounted for as a change in an accounting estimate in accordance with IAS 8.

Under IAS 8, an estimate may need revision if changes occur in the circumstances on which the estimate was based or as a result of new information or more experience. In such cases, a change in the reserve basis for the depletion calculation constitutes a change in accounting estimate under IAS 8. The company's policy of depleting its assets on a UoP method is unchanged; they have only changed their estimate of the useful life.

The effect of such a change is recognized prospectively from the period in which the change is made. Entities that change their reserve basis should ensure that any related changes (such as FDCs to complete any undeveloped assets or access probable reserves) are also incorporated into their depletion calculation.

Appropriate disclosure of the change should be made.

Situations may arise when a change in reserve basis results from a change in accounting policy. The analysis of such a change is outside the scope of this document.

Amounts Subject to UoP Depletion

The following would comprise the amounts to be subject to the UoP depletion expense for the period:

- The aggregate of the following amounts as at the **beginning of the period**[2] for the relevant category of PP&E:
  - (+) all accumulated PP&E (including associated decommissioning, restoration and similar liabilities)
  - (-) accumulated depletion
  - (-) accumulated impairment
  - (-) estimated residual values
  - (+) estimated FDCs for undeveloped or non-producing reserves included in the reserve basis being used for the depletion calculation.

- the aggregate of the following amounts **during the period**[2] for the relevant category of PP&E:
  - (+) all PP&E additions (including associated decommissioning, restoration and similar liabilities)
  - (-) PP&E costs derecognized for disposals or other reasons
  - (+/-) changes in estimated residual values
  - (-) change in FDCs in the period (this would include a reduction due to development work done in the period and any change in the estimate of FDCs for future periods).

Consistency of Information

If, for a period, the company adds or subtracts reserves (other than for production for the period) in the reserve basis, then it may be necessary for the company to adjust the associated FDCs to be internally consistent with the changes made to the reserve basis. Specifically, if the estimate of reserves is changed, both the numerator and denominator in the UoP calculation are adjusted to reflect this change.

2 The "beginning of a period" refers to the first date of the accounting period under analysis and relates to the opening balances as at that date. "During a period" refers to the activity throughout the accounting period under analysis and relates to the activity within that period.

DD&A of Components

IFRS has a specific requirement for "component" depreciation, as described in IAS 16.

Each significant part of an item of PP&E with a cost that is significant in relation to the total cost of the item is depreciated separately. Significant parts of an item of PP&E that have similar useful lives and patterns of consumption may be grouped together for the purposes of calculating DD&A.

DD&A of Related Assets

PP&E assets with different (shorter or longer) useful lives than the pool, field or area with which they are associated should be depreciated separately from that pool, field or area.

PP&E assets that have a useful life clearly related to the specific pool, field or area, may be depreciated using the UoP method. Since most future economic benefits of these assets are tied to the life of the reserves in the related pool, field or area, the UoP method may reasonably reflect the pattern of consumption.

Interim Periods

When the UoP method is applied, depletion is calculated for each interim period based on the UoP for that period.

Re-evaluating Reserves

Management should determine an appropriate point (often in conjunction with the finalization of the NI 51-101 filing) to re-evaluate useful lives (e.g., life of reserves) and adjust the depletion calculation accordingly.

As noted above, this assessment should be conducted at least annually or more frequently if evidence exists that useful lives have changed. If estimates of useful lives are different in an interim period from the previous period because of a change in circumstances, new information, or more experience, the change is accounted for prospectively as a change in estimate.

Appendix

Illustrative Example—Depletion

Oil Co. drills a well with the intention of extracting oil from a known high-quality reservoir. It incurs $570,000 of development costs, which were appropriately recognized as property, plant and equipment.

In addition, Oil Co. estimates that its current decommissioning obligation relating to the site is approximately $130,000. Therefore, the total cost (i.e., depletion base) of the property is $700,000 ($570,000 + $130,000).

Oil Co.'s qualified reserves evaluator estimates the proven oil reserves of the well are 200,000 barrels (which include proven undeveloped reserves in a lower zone that have not yet been exploited). The total future development costs of accessing the proven undeveloped reserves are estimated to be $80,000.

The unit depletion charge is therefore $3.90 per barrel of oil extracted (($700,000 + $80,000 depletion base) / 200,000 barrels)).

In the first period, Oil Co. extracts 10,000 barrels of oil from the well, which results in depletion expense of $39,000 (10,000 barrels × $3.90 per unit depletion charge).

At the beginning of the second period, Oil Co. incurs $77,000 of costs to develop the remaining undeveloped reserves. As the $77,000 of development costs were incurred they were capitalized to the cost of the property and included in the depletion base. As a result, in order to avoid double counting, the related future development costs of $80,000 are removed from the depletion base. Therefore, the unit depletion charge decreases to $3.88 per barrel ($780,000 – $80,000 + $77,000 – $39,000 = $738,000 depletion base / 190,000 barrels). In the second period, 10,000 barrels of oil were extracted, resulting in depletion expense of approximately $38,800.

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Impairment of non-financial assets - common mistakes

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GX In brief INT2023-02

Key points

This In brief applies to all entities with significant non-financial assets that are required to be tested for impairment under IAS 36. Set out below is a refresher on some basic concepts on impairment of non-financial assets, and reminders on those aspects of the value in use (VIU) methodology where common mistakes are made.

What is the issue?

Impairment of assets is one of the main topics that arise most frequently in regulators' correspondence with companies. We expect the impairment tests and associated disclosures to remain an ongoing area of focus for users of financial statements as well as regulators, particularly in periods of heightened economic and geopolitical uncertainty.

What are matters to look out for?

1) Identification of CGUs (what to test)

Non-current non-financial assets (such as property, plant and equipment (PP&E), intangibles and right-of-use assets) are required to be tested for impairment at the level of each individual asset if there is an impairment indicator [IAS 36 para 9]. If a recoverable amount cannot be estimated for the individual asset, because it does not generate independent cash inflows, that asset should be tested as part of a cash-generating unit (CGU) [IAS 36 para 22]. [IAS 36 para 66]. The vast majority of assets are tested for impairment as part of a CGU or group of CGUs.

When identifying a CGU, it might be useful to look at how management chooses to monitor its operations, but this is not definitive. Determining a CGU should be a matter of fact, with a CGU being the smallest group of assets that generate largely independent cash flows - for example, individual hotels and retail stores usually generate income that is largely independent of others, so generally they form individual CGUs [IAS 36 para 68].

There are separate rules for goodwill. Goodwill is required to be tested for impairment at the lowest level at which management monitors it. If that is on an individual CGU basis, testing goodwill for impairment should be performed on that individual basis. However, where management monitors goodwill on the basis of a larger group of CGUs, the impairment testing of the goodwill should reflect this. The lowest level cannot be higher than the operating segment that it belongs to under IFRS 8. This would need to be considered even if the group does not apply IFRS 8. Management needs to exercise care that the entity's CGUs are appropriately disaggregated (that is, that they are not too large). [IAS 36 para 80]

The identification of CGUs for the asset impairment test, and of groupings of CGUs for the testing of goodwill, often represents a significant judgement which should be clearly disclosed in the financial statements in accordance with IAS 1. [IAS 1 para 122]

2) Impairment indicators (when to test)

Companies should assess, at the end of each reporting period (including interim periods), whether there is any indication that an asset might be impaired [IAS 36 para 9]. We would expect many entities to have an impairment trigger in 2022 due to the ongoing impact of COVID-19, the effects of the Russian invasion of Ukraine, rising inflation and interest rates, climate-related issues and the general macroeconomic and geopolitical environment.

Assessment of impairment indicators might represent a significant accounting judgement to be disclosed in accordance with IAS 1. In times of uncertainty, even if management concludes that there are no impairment indicators, the rationale for such a conclusion would still need to be disclosed if it represents a significant judgement. [IAS 1 para 122]

IAS 36 requires a bottom-up approach to impairment tests. If an impairment indicator is identified and it relates to a particular asset or CGU, that asset or CGU should be tested for impairment first [IAS 36 para 9]. [IAS 36 para 22] Under IAS 36, goodwill

(given that it has indefinite life) is tested for impairment at least annually and when there are impairment indicators [IAS 36 para 90]. Goodwill impairment testing for groups of CGUs is performed after the individual assets and CGUs have been tested for impairment and potentially been written down. [IAS 36 para 97-98]

3) The recoverable amount is the higher of the VIU and FVLCD

There are two methods to calculate recoverable amounts under IAS 36: fair value less cost of disposal (FVLCD); and value in use (VIU) [IAS 36 para 18]. FVLCD is a market participant approach, although almost always based on a discounted cash flow model. VIU is also a discounted cash flow model, with specific requirements and limitations on what cash flows can and cannot be included, as defined by the standard [IAS 36 paras 39-45]. [IAS 36 para 50]. The carrying amount of the asset or CGU is compared to the higher of FVLCD and VIU to determine any impairment charge. [IAS 36 para 18].

Many companies (except for some niche industries) default to the VIU method, because it is often expected to provide a higher value; however, if the VIU model indicates an impairment, the FVLCD must be considered before any impairment is recorded. [IAS 36 para 18].

4) The assumptions should be reasonable and supportable, based on approved budgets

Cash flow forecasts should be based on the latest management-approved budgets or forecasts. Assumptions made in the cash flows should be reasonable and supportable, and they should represent management's best estimate of the economic circumstances that will prevail over the remaining life of the asset or CGU. The cash flows to be used in a discounted cash flow prepared to determine FVLCD might well be different from those in a VIU calculation. Any differences in the cash flows used under the two methods should be considered for reasonableness. [IAS 36 para 34]

Changes in the current economic climate might mean that assumptions that were reasonable a year ago might no longer be appropriate. Auditors are expected to challenge key assumptions within cash flows forecasts developed by management.

Greater weight should be given to external evidence when preparing and auditing cash flow forecast assumptions. [IAS 36 para 33] For example, the cash flows/forecasts should be compared with external information, such as analyst reports, the views of other third-party experts and economic forecasters. It is possible to obtain analyst reports for most market sectors, and these should be considered as corroborative or contradictory evidence to evaluate management's key assumptions. Comparable transactions, and multiples implied in these transactions, can also be useful benchmarks.

Management often assumes that depreciation (for both PP&E and right-of-use assets) is a proxy for the outflows required to replace wasting assets in perpetuity models. In times of high inflation, depreciation is a poor proxy for future outflows. Care needs to be taken to ensure that replacement assumptions are appropriate. Inflation more generally needs to be carefully considered in the current models where these are prepared on a nominal basis (that is, including the impact of inflation), because not all costs experience the same exposure to inflation, and sales might only be impacted to the extent that inflation can be passed on to customers due to recessionary forces. [IAS 36 para 40]

Specific challenges might relate to incorporating cash outflows for replacing leased assets on expiry of the leases into the impairment models; for further guidance in this area, see FAQ 24.84.2.

NB: If market capitalisation is lower than the recoverable amount, challenge the assumptions

Market capitalisation below net asset value is an explicit trigger for an impairment test in the standard [IAS 36 para 12]. If market capitalisation is lower than a VIU calculation, the appropriateness of the assumptions should be challenged .

5) Compare like with like - consider corporate assets, working capital, income tax, liabilities

Cash flows used in the recoverable amount should be consistent with the assets being tested in the carrying amount of the CGU. The impairment test should compare like with like. Corporate assets, working capital, income taxes and liabilities are key areas to consider.

Corporate assets and corporate overheads

The carrying amount of a CGU consists of:

- assets that are directly and exclusively attributable to the CGU; and
- an allocation of assets that are indirectly attributable, on a reasonable and consistent basis, to the CGU including corporate assets and goodwill. [IAS 36 para 76].

The cash outflows attributable to a CGU should include sensible allocations of corporate overheads [IAS 36 para 39] [IAS 36 para 41]. Allocation of corporate assets and allocation of overheads are linked. For example, if part of the carrying value of a brand is allocated to CGUs, any internal management charges paid by the CGUs relating to the use of that brand should be excluded from their cash outflows to avoid double counting. Generally, in a VIU test, all overheads should be included in the VIU

model, either at the CGU level or at the overall group level; by contrast, in an FVLCD test, only those costs that are needed to run the business from the market participant's perspective would be included.

We see common errors on allocation of corporate assets to a CGU. Management might have failed to allocate corporate assets to CGUs on the basis that they are not individually impaired, or on the basis that allocation cannot reasonably be done, when in fact it can. We also see management not allocating corporate assets to an individual CGU (which, on occasion, might be correct), but then also not allocating them on an aggregated CGU level, resulting in the corporate assets being incorrectly excluded from the impairment assessment. There is an expectation that auditors will consider (and, if appropriate, challenge) management's CGU allocation, and that they will document this consideration.

Working capital

The carrying amount includes only the assets that generate future cash flows used in determining VIU [IAS 36 para 30(a)]. Many entities preparing cash flow forecasts for the purposes of impairment testing base their forecasts on the underlying cash flow forecasts for the business. These include cash flows arising from the settlement of working capital balances at the year end. The standards permit these entities to leave the forecasts unadjusted, provided that the carrying value of the CGU is increased by the amount of the working capital assets and reduced by the value of the working capital liabilities. See EX 24.45.1 for a numerical example.

Income tax

Cash flows should exclude cash flows relating to tax losses, because these do not affect the recoverable amount of the CGU being tested. Current and deferred taxes are required by the standard to be excluded from VIU cash flows, but they should be included in FVLCD cash flows [IAS 36 para 53A]. In practice, post-tax discount rates and cash flows are often used in VIU models, which theoretically can give the same answer, but the need to consider deferred taxes makes this complicated. For guidance on how one might deal with deferred tax in a post-tax VIU model, see EX 24.87.1.

Liabilities

Cash outflows relating to obligations that have already been recognised as liabilities are generally excluded, because the related liability is excluded from the CGU, examples of such liabilities include debt, lease liabilities, pensions and provisions. [IAS 36 para 43(b)] [IAS 36 para 50] A liability is only included in the CGU if the recoverable amount of the CGU cannot be determined without consideration of this liability [IAS 36 para 76(b)]. For example, decommissioning liabilities are often included, because they cannot be detached from the related assets. A common mistake is to deduct the liability (often discounted at a risk-free or borrowing rate) from the CGU assets and then to include the cash outflows in the VIU model (discounted at a WACC derived rate) which leads to an inbuilt buffer due to the differential discount rates. Paragraph 78 of IAS 36 avoids this by requiring the carrying amount of the liability to be deducted from both the assets of the CGU and the cash flows of the VIU model, leading to a neutral impact.

6) Terminal value (extrapolate appropriately)

An asset with a finite life should have cash flows projected over that period. An asset or business with an indefinite life requires a terminal value in the cash flow forecast. This represents what an investor might pay for the cash flows beyond the specific forecast period.

The terminal value is calculated either as an exit multiple or as a perpetuity formula, which takes the last year of cash flows and projects them indefinitely. An exit multiple should be based on market data, and it is applied to the cash flow in the last year of the projections. Whichever method is chosen, it is important that the cash flows used in the final year of the forecast are sustainable. Careful consideration is needed as to whether the business is cyclical, whether there is any mismatch between capital expenditure and depreciation, and/or whether cash flows into perpetuity are aligned with the future expectations of the operations of the business. This concept is explored further in FAQ 24.84.2.

It is important to ensure that the forecast period is long enough (but typically not longer than five years) to achieve normalised growth and margin levels. If it is too short, the entire valuation will be dependent on the terminal value; any bias or error will be amplified.

We see common errors in that management overestimates the terminal values, due to overestimating the final forecast period. This overestimation is often attributable to the inclusion of one-off cash inflows in the terminal period, which are then extrapolated. The opposite effect would arise if exceptional outflows were mistakenly included in the final period. The final period must represent a steady state.

The long-term growth rate should be reasonable in comparison to long-term inflation expectations, where a cash flow is prepared on a nominal basis. Nominal long-term growth rates in excess of long-term nominal GDP growth imply that the business will eventually grow at a rate faster than the economy itself. This is unlikely to be appropriate. The long-term growth rate should be corroborated and/or challenged using external evidence.

7) Discount rates

The discount rate used should be the rate that reflects the specific risks of the asset or CGU and the time value of money. [IAS 36 para 55] It is likely that different CGUs might warrant different discount rates - for example, some CGUs might be in different territories, or they might be more exposed to climate-related risks and this should be reflected in the discount rates for those CGUs - but the discount rate should not be adjusted for risks that have already been considered in projecting future cash flows. In most cases, however, discounted cash flow calculations based on approved budgets will not have been risk-adjusted, so an adjustment should be made to the discount rate. Management should also consider country risk, currency risk and cash flow risk. Although IAS 36 requires the use of pre-tax discount rates, in practice post-tax cash flows and discount rates are often used which then need to be reconciled to the pre-tax equivalents for disclosure purposes.

Foreign currency cash flows add complexity to the discount rate. The future cash flows are estimated in the currency in which they will be generated and then discounted at an appropriate rate for that currency. [IAS 36 para 54] This discount rate might not be easy to determine, and it is likely to be different from the rate used for the remainder of the present value calculation, because it is country- and currency-risk specific.

The present value of the foreign currency cash flows should be translated at the spot rate at the date when the impairment review is being performed.

Management might have assessed a weighted average cost of capital (WACC) to be a reasonable proxy of the discount rate that represents the risk associated with the assets in the CGU and the time value of money.

The WACC should not reflect an entity's own capital structure

Management might use their WACC as a starting point in calculating the discount rate, but the standards require the entity-specific WACC to be adjusted - for example, to ensure that the discount rate is independent of the entity's capital structure. [IAS 36 para A15-A31] We see errors in management's composition of the WACC rate , in that the cost of debt is not based on recently achieved borrowings / leases, or it is determined from short-term loans, where the forecast period is much longer. We also see errors where the risk-free rate used relates to a territory different from the one in which the CGU operates, or where the entity beta is simply assumed to be 1 (that is, that the CGU moves exactly in tandem with the market overall).

The impact of increased economic uncertainty on a WACC

Where uncertainty in the economic environment has increased, the established methods for calculating the WACC should continue to be used. However, a reassessment of each input into the calculation and assessment of the overall result is needed. We would generally expect the inputs (such as long-term risk-free rates) used in the calculation of discount rates *to increase* compared to prior periods. [See GX In brief INT2022-20 'Have WACCs changed for December 2022 financial year ends?']

8) Allocation of impairment

Impairments must be recognised in the same order that the impairment testing is performed based on the bottom up approach described in Section 2 above:

i. individual assets;
ii. CGUs; and
iii. groups of CGUs (including goodwill).

[IAS 36 para 104]

When allocating impairment to a group of CGUs that includes goodwill:

i. allocate impairment to the goodwill balance to reduce it to zero; and
ii. allocate impairment to the other assets within the group of CGUs on a pro rata basis, based on the carrying amount of each asset.

[IAS 36 para 104]

Some companies, after fully impairing the goodwill, allocate the residual impairment solely to intangible assets, such as customer lists, brands or trademarks. This is not in line with IAS 36 requirements. Any residual impairment that remains after full impairment of goodwill should be allocated to all non-current non-financial assets within the CGU or group of CGUs, including PP&E, right-of-use assets and intangibles (other than goodwill).

When allocating impairment to the assets in a group of CGUs, the individual assets should not be written down below the highest of:

i. the FVLCD of the asset;
ii. the VIU of the asset; and
iii. zero.

[IAS 36 para 105]

9) Parent's separate financial statements

If impairment of goodwill is identified at the group level, this will most likely trigger, in the parent's separate financial statements, an impairment review of the parent entity's investment in the relevant subsidiaries. The VIU of an investment in a subsidiary would be determined by the present value of expected dividend receipts, i.e. what are the cash flows that the parent can extract from the subsidiary, which is the residual after the subsidiary has settled all of its liabilities. The present value of the estimated post-tax cash flows from the subsidiary's underlying assets might be used as a proxy for this if the subsidiary has no debt. Otherwise, the present value of expected cash flows should be reduced by the contractual cash outflows of outstanding debt and leases (both external and inter-company), in order to determine the net amount available for distribution, see FAQ 24.165.2.

Some companies test investments in subsidiaries and loans receivable from subsidiaries on a combined basis. This is not in line with the requirements in the standards, since the investments in subsidiaries, associates and joint ventures fall within the scope of IAS 36, while loans receivable fall within the scope of IFRS 9 for impairment testing. The IAS 36 test should be performed for the carrying value of investments only, and loans receivable from subsidiaries should be deducted from the present value of expected cash flows, to reduce the recoverable amount, as explained in the paragraph above.

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10) Disclosures

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IAS 36 and IAS 1 have extensive disclosure requirements.

Key assumptions, and management's approach to determining values assigned to each of those assumptions, should be disclosed. Key assumptions are those to which the recoverable amount is most sensitive (for example, assumptions on revenue growth and profit margins). If key assumptions differ from those indicated by external sources of information or past experience, an explanation is also required.

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In times of higher uncertainty disclosure of the sensitivities is particularly important. Sensitivity disclosure requirements are twofold:

i. paragraph 134 of IAS 36 requires disclosure of *reasonably possible* changes in the value of key assumptions which reduce headroom to nil; and
ii. paragraph 125 of IAS 1 requires disclosure of information about the assumptions that have a significant risk of resulting in a *material adjustment* to the carrying amounts of assets and liabilities within the next *financial year* .

When does it apply?

While the accounting standard for the impairment of assets - IAS 36 - has not significantly changed recently, the level of complexity in applying the existing guidance has increased in recent years, due to heightened economic uncertainty.

Where do I get more details?

Further guidance on impairment of non-financial assets can be found in the Manual of Accounting Chapter 24 - Impairment of Assets.

[1] *The annual impairment test for CGUs containing goodwill and other indefinite-life intangibles can be carried out at any time in the financial year, but it should be done at the same time each year. [IAS 36 para 96]*

[2] *For guidance specific to the banking industry, see GX In depth INT2022-09 (PwC users only).*

[3] *Note that the ratio of debt to equity, in order to determine the WACC rate, should incorporate consideration of IFRS 16 lease liabilities, which are a form of financing.*

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The New York Times | https://www.nytimes.com/2026/09/24/business/starbucks-store-closures.html

Starbucks to Shutter 250 Stores as Turnaround Plan Continues

The company said the affected cafes did not meet financial or customer service expectations.

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By Julie Creswell

Sept. 24, 2026

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Starbucks said Thursday that it was closing 250 underperforming stores across the country this week.

The affected stores, which make up about 1 percent of the coffee giant's 18,000 restaurants in the United States, either did not meet expected customer-experience levels or fell short of financial expectations, Mike Grams, the chief operating officer of Starbucks, said in an announcement early Thursday.

While the North American "business has returned to strong growth," some coffeehouses "continue to underperform," Mr. Grams said in the message.

The company will take $300 million in restructuring charges from the closures, related to exiting leases and employee benefits.

Other restaurant chains are struggling as consumers reduce their spending, a response to higher prices at grocery stores and gas stations. Yet customers have continued to flock to Starbucks for their Pumpkin Spice Lattes and Strawberry Açaí Lemonade Refreshers.

Starbucks has reported improved foot traffic and store sales over several quarters under the turnaround plan designed by the chief executive, Brian Niccol, who joined the company in 2024. He has tackled a long list of customer complaints, from long waits for drinks to a lack of seating in cafes.

For the most recent quarter, ending June 28, Starbucks reported that sales in stores in North America open for at least a year were 8.1 percent higher than a year earlier.

Shares of Starbucks were flat in early trading. The company's stock is up 11.7 percent over the past year.

Closing lagging stores has been a part of Mr. Niccol's playbook. A year ago, Starbucks shuttered more than 600 underperforming stores. He also orchestrated the sale of 60 percent of its retail operations in China, which had been a lag on the company's performance, to a private equity firm in a deal valued at $4 billion.

As part of its turnaround strategy, Starbucks is making major investments, from hiring additional staff to upgrading technology that gets lattes and refreshers into the hands of customers faster.

"We brought back cup writing, condiment bars, ceramic mugs and free refills. We announced standards that make it easier for customers to sit and stay," Mr. Niccol wrote in a message to the company this month on his second

anniversary as chief executive. “Uplifts are bringing back seats, warmth and personality to our cafes. And we are making sure every coffeehouse earns its place.”

But those investments have pressured profits. As a result, Mr. Niccol is looking to cut $2 billion in annual costs from Starbucks by 2028.

Julie Creswell is a business reporter covering the food industry for The Times, writing about all aspects of food, including farming, food inflation, supply-chain disruptions and climate change.

A version of this article appears in print on , Section B, Page 3 of the New York edition with the headline: Starbucks To Shutter 250 Stores In the U.S.